Rashi Peripherals Ltd

Concall Tracker: earning trigger and management consistency check · Quarter folder Q1-2027 · Report date 6 Nov 2026 · Screener ticker RPTECH · Builds on the Q4-2026 report

1. Snapshot

What it does, in plain words: Rashi Peripherals (brand "RP tech") is one of India's biggest wholesale distributors of computer and electronics hardware. It buys laptops, processors, graphics cards, memory, monitors, servers and gaming gear from global brands such as NVIDIA, Intel, AMD, HP, Lenovo, ASUS and Dell, stocks them in its warehouses and sells them on credit to more than 10,000 shops, chains and online sellers. It makes nothing itself. It earns a very thin slice on a very large volume, so how fast it turns its money over matters as much as what it sells.

Number	Value	What it means
Market value	₹4,916 cr (share ₹739)	What the stock market says the whole company is worth today.
Price to earnings (P/E)	about 13.5x	You pay about ₹13.5 for every ₹1 of the last twelve months' profit. Cheap next to most listed companies, which tells you the market expects this boom to fade.
Q1 FY27 sales (consolidated)	₹5,102 cr, up 62%	Sales for April to June 2026, the biggest quarter in the company's history and well over half again what it sold a year earlier.
Q1 FY27 net profit	₹105 cr, up 69%	What was left after all costs and tax. Profit grew faster than sales.
Q1 FY27 operating margin	3.38% (FY26: 2.90%)	It keeps about 3.4 paise of operating profit on each rupee of sales. Tiny, but up about half a paisa in a year, which is big for a distributor.
Return on capital / equity (annualised)	~19.5% / ~19.8%	About ₹19-20 earned a year on every ₹100 put to work. Management says this is the best since it listed in Dec 2023.
Net debt (30 Jun 2026)	₹1,285 cr	Borrowings minus cash, used to fund stock and customer credit. Up from about ₹990 cr of borrowings in March, because it is carrying a much bigger business.

Figures are consolidated as given on the call. Screener's standalone numbers for the same quarter: sales ₹4,832 cr, profit ₹97 cr. The gap is two small subsidiaries.

2. Concall coverage

Quarter	Call date	How it was read
Q3 FY24 to Q3 FY26 (9 calls, from the Feb 2024 maiden call)	Feb 2024 to Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (full-year FY26), the prior boundary	15 May 2026	Read in full for the Q4-2026 report
Q1 FY27 (Apr to Jun 2026)	**5 Aug 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this time. The backstory from the earlier ten calls comes from the Q4-2026 report. Calls held after 30 Sep 2026 are left for the next report.

★ Latest concall highlights - Q1 FY27 (call held 5 Aug 2026)

- **Record quarter on every line.** Sales up 62% to ₹5,102 cr, operating profit (EBITDA) up 55% to ₹173 cr, profit up 69% to ₹105 cr. All four of sales, EBITDA, profit and return on capital hit all-time highs at once.
- **Where the growth came from.** Management's own split: about 30-35 points from higher prices (memory, hard drives and chips are short because AI data centres are soaking up supply), 5-10 from new products and brands, and 20-25 from selling more units. Units grew about 20% while the Indian PC market is expected to shrink about 10% in units. So roughly half the growth is price, the rest is real share gain.
- **Two deals to move up from plain distribution.** It agreed to buy a 67% stake in VDA Infosolutions, a system integrator that did about ₹850 cr of sales last year and earns repeat service income. And it is forming a semiconductor joint venture with Japan's Restar (Rashi 74%, Restar 26%), targeting more than US$100 million of sales within three years at better margins than its core business.
- **Q2 should look similar.** Management expects the same trend in Jul-Sep, with prices still rising but at about half the speed. It called it a "dream run" for the coming quarter.
- **Tone: very confident, with honest caveats.** They flagged that laptops now cost about twice what they did a year ago, that consumer buyers are pulling back, that entry-level laptops are about half short, and that dealers are sitting on extra stock hoping to sell later at higher prices.

Business mix and "capacity"

Domestic vs exports: essentially all sales are in India. About 40% of what it buys is imported in dollars, so currency risk sits on the buying side. *Plain read: an Indian seller with a dollar cost base.*
Customer mix (new this call): about 30-35% of what it sells ends up with consumers and 60-65% with businesses (small firms and large enterprises). *Plain read: business buyers, who can't delay a refresh for long, are the bigger and steadier part right now.*
Capacity utilisation: not applicable, it has no factories. The real limit is working capital, which held at about 56 days (stock 55 days, customer credit 41, supplier credit 40). *Plain read: it grew 62% without tying up money for longer, which is the number that matters for a distributor.* Two new branches opened this quarter (Udaipur, Dhule).

Since our last report (builds on the Q4-2026 report, call of 15 May 2026)

Prior verdicts carried forward: **Durable earning trigger: YES** (cyclical, not permanent) · **Management consistent: YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: PC upgrade, AI-PC and component-price cycle	Real and live, but a cycle, not a lasting edge	Even stronger: sales up 62%, margin up again. About half of it is price, so the cycle point stands.	Confirmed
Consistency	Delivers what it says, honest about weak patches	Again candid on consumer weakness, channel stock and supply risk. Kept working capital tight as promised.	Confirmed
Promise: around 20% yearly growth	Yet to be tested for FY27	Q1 grew more than three times that; Q2 guided similar	Improving
Warning: 5-10% unit fall, softer consumer demand later in 2026	Management's own caution	Now talking of about 10% unit fall in the market; consumer slowdown already visible. Rashi's own units still up about 20%.	On-track (risk building)
"Higher-margin verticals are 2-3 years away"	Goalpost kept moving	First concrete steps: VDA stake and Restar JV, with a US$100 million three-year target. Numbers only show from Q2.	Improving

Verdict change this quarter: both verdicts unchanged. The trigger is playing out harder than expected, but the new call also confirms how much of it is price, which keeps the "cyclical" label. Management kept its candour and its working-capital discipline.

3. Earning trigger thesis

The driver is still a hardware upgrade cycle in India: companies replacing old Windows 10 machines, AI-capable PCs taking a larger share of every shipment, and a shortage of memory and chips (AI data centres are taking the world's supply) that keeps pushing prices up. For a big distributor with good supplier ties, rising prices mean more rupees of profit per unit on a cost base that hardly moves, and when stock is short, the players that can secure supply take share from smaller ones. That is exactly what Q1 showed. On top of this, management has started building a higher-margin second leg through VDA (IT services with repeat income) and the Restar chip JV.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
PC refresh and AI-PC cycle	A multi-year cycle "with real room still to run"	Own units up ~20% while market units fall ~10%; business buyers still pulling orders forward	FY27-FY28	Strong: live and in the numbers	↑ improving, Q1 beat any earlier hint
Component shortage lifting prices	Shortage expected to last through 2028	30-35 points of Q1 growth from price; margin 3.38% vs 2.90%	1-2 years	Moderate: real, but it reverses when supply catches up	↑ improving, but price share of growth is now clear
Move up the chain (VDA, Restar JV, semiconductors)	Better quality earnings; JV >US$100m sales in 3 years	Deals signed; semiconductor sales grew about 70%; nothing consolidated yet	2-3 years	Unproven: right idea, no numbers yet	↑ improving, from talk to signed deals
Wider reach, new brands (Dell etc.)	Keep adding towns and brands	Dell commercial now ~5% of sales and "above target"; 2 new branches	Ongoing	Moderate: steady and dependable	unchanged

Honest caveat: the current boom is partly a price story in a business that keeps about 3 paise per rupee. Dealers are holding extra stock betting on higher prices, consumers are already pulling back, and debt went up to fund the larger book. When prices stop rising, growth will drop back sharply, and management chose not to chase big data-centre projects this quarter because they would roughly double its debt ratio.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Feb 2024 (maiden call)	Use IPO money to repay debt; hold margin around 2.5-2.7%	Debt repaid on time; margin later improved to 2.90% (FY26) and 3.38% (Q1 FY27)	Delivered
May 2024	Execute the ₹1,500 cr Yotta AI data-centre order in FY25; Windows refresh to drive FY25-26	Yotta done on time; the refresh arrived in FY26	Delivered
May 2025	Refresh starts "Q3 FY26 onwards"; won't chase low-margin big projects	Refresh landed from H2 FY26; skipped big projects through FY26 and again in Q1 FY27	Delivered
Every year	"Margin gains from new verticals are 2-3 years away"	Still not in the numbers, but VDA and the Restar JV are now signed	Too early (moving)
May 2026	Keep around 20% growth; the cycle lasts 1-2 more years; keep working capital tight	Q1 FY27 sales up 62%, working capital steady at about 56 days	Delivered (so far)
Aug 2026 (new)	Q2 to follow a similar trend; VDA and JV numbers reported from Q2; JV >US$100m in 3 years	Not yet testable in this report	Too early

Narrative drift: very little. The same three-part plan (grow the core, add brands and towns, move up into solutions and chips) has run through every call since listing. What changed this quarter is that the third part finally has signed

deals behind it rather than talk. Tone stepped up from confident to very bullish ("dream run", "not a peak, a foundation"), which is worth noting, but the caveats were still spelled out by management without being asked.

5. Bottom line - two verdicts

Durable earning trigger? → YES (cyclical, not permanent) vs last quarter: unchanged

The Q1 call strengthened the evidence but did not change the nature of it. The hardware cycle and the memory and chip shortage pushed sales up 62% and profit up 69%, and Rashi grew units while the market shrank, so part of this is genuine share gain. But about half the growth is price, consumer demand is already softening and dealers hold extra stock. Read it as a strong cycle to ride, with the VDA and Restar deals as an early attempt to build something steadier underneath.

Management consistent? → YES vs last quarter: unchanged

Nothing moved this down. Management delivered the growth it talked up, kept working capital where it said it would, held back from big debt-heavy projects as it promised, and was open about the risks. The long-running "2-3 years away" line on higher-margin verticals now has signed deals behind it, which is progress. The new promises (similar Q2, VDA and JV numbers from Q2, the US$100m JV target) are the ones to check next quarter.

Prepared from the Q1 FY27 earnings-call transcript (5 Aug 2026), the Q4-2026 Concall Tracker report on this company, and Screener.in financial data. This is an analysis of management commentary and reported figures, not investment advice.